- Fluctuations in international gold prices get automatically reflected in India's gold prices along with the markup due to duties and taxes. Substantial increase in gold prices seems to have fuelled positive price expectations also contributing to sharp rise in the value of gold imports in recent years.

To restrict the rising trend in gold imports which is adversely affecting India's balance of payments, measures were and are being taken by the government:

- In Budget 2012-13, import duty on standard gold and platinum was raised from 2 per cent to 4 per cent and non–standard gold from 5 per cent to 10 per cent.
- On January 21, 2013, the Import duty on gold and platinum was increased from 4 per cent to 6 per cent.
- It has also been proposed to provide a link between the ***Gold ETF*** (Exchange Traded Fund) and ***Gold Deposit Scheme*** with the objective of *'unfreezing'* or *'releasing'* a part of the gold physically held by mutual funds under Gold ETFs and enabling them to deposit the gold with banks under the Gold Deposit Scheme.

The value of gold imports during *April–December 2012* declined by 14.7 per cent to US $ 38.02 billion and quantity of imports fell by 11.8 per cent compared to same period of previous year. Total gold consumption has also declined by 23 per cent during the first three quarters of 2012. While the supply of gold through organized channels can be constricted, there is need to be vigilant regarding gold inflows through unauthorized channels. Ultimately, the best way to reduce gold imports in a sustainable way will be to offer the public financial investment opportunities that generate attractive returns. This means bringing down *inflation* as well as expanding the range of investments investors have easy access to.

RECENT RTAs BY INDIA

Since India became one of the founding members of the WTO, its attention has grown towards the regional trade groupings. These groupings give regional competitveness to the economy and strengthens it to compete at the